

Howard MaHoward.Ma@guggenheimpartners.com
512 354 3458**Joseph DiBartolomeo**joseph.dibartolomeo@guggenheimpartners.com
212 823 6709**DDOG****Datadog, Inc.**
Sector: Software**BUY****Rating Change**

Share Price	\$116.50
Price Target	\$175.00
Prior	NA

Revenue (\$M) (FY DEC)	1Q	2Q	3Q	4Q	FY
2025	762	827	886	953	3,427
EV/Sales					11.4x
2026	965E	984E	1,044E	1,109E	4,102E
Prior	957E	961E	1,045E	1,117E	4,081E
EV/Sales					9.5x
2027	1,134E	1,163E	1,236E	1,324E	4,857E
Prior	1,111E	1,150E	1,219E	1,313E	4,793E
EV/Sales					8.0x
EPS (\$) (FY DEC)	1Q	2Q	3Q	4Q	FY
2025	0.46	0.46	0.55	0.59	2.06
2026	0.51E	0.50E	0.57E	0.59E	2.17E
Prior	0.50E	0.46E	—	0.60E	2.13E
2027	0.66E	0.64E	0.71E	0.75E	2.75E
Prior	0.64E	0.59E	0.70E	—	2.68E

Market Data & Valuation Measures

52-Week Range	\$85.74 - \$201.69
Shares Out (M)	328.5
Market Cap (M)	\$41,224
Enterprise Value (M)	\$39,091
ADV (3 mo; 000)	5,876

DDOG - Time to Let the Dog Run Free; Upgrading to Buy, \$175 PT

Key Message: We're upgrading DDOG shares to Buy from Neutral and introducing a \$175 PT, representing 50% potential upside. Based on our industry research and checks, we believe that Datadog is a primary beneficiary of AI-driven growth in data volumes and IT complexity. In our view, Datadog has a sophisticated backend architecture that is a deep moat against competition and potential commoditization via LLMs or OTel, uniquely strong revenue contribution from multiple products, and is leading the pack in terms of agentic observability (e.g., Bits AI SREs) that we believe is net expansionary to the Observability software market. Our previous hesitation on Datadog was its pronounced exposure to OpenAI whose plan we believe is still to move off entirely off Datadog. But our checks indicate the move will take longer than we initially expected, conveniently enabling a "graceful failover" to significantly growing contribution from 650 AI native customers including an 8-figure deal and largest new logo to date that we believe is Anthropic, in addition to an accelerating core business. We now see Datadog ultimately growing revenue 27% in 2026 (vs. our previous estimate of 24% and consensus at +20%) with 24.5% operating margin (vs. consensus at 21%). This includes core growth of 24% (unchanged), OpenAI growth of about 16% (vs. down 20% previously), and other AI natives (including Anthropic) growing 220% or about \$160M y/y. This implies 28% growth ex. OpenAI. Looking ahead, we still see a hole in 2027, albeit a smaller one now, driving 20% growth followed by reacceleration to 25% in 2028. Most importantly, core New ARR accelerated significantly over the last 3 quarters; we prudently assume deceleration to 20% in 2026-2028 vs. +40% in 2025. AI observability, Bits AI, and sales capacity and productivity increases are all potential levers for upside. Our \$175 PT implies 11.6x EV/2027 Rec Rev vs. 7.5x currently, using our plausible estimates.

Technology Moat. Datadog took a purpose-built approach to its storage and query engines, with one for metrics that enables extremely fast processing speeds for trillions of datapoints per day, and one for events (logs, traces, etc.) that allows for elastic compute and storage for a diverse set of workloads. We believe this is a superior approach for full-stack observability vs. unified data lakehouse or columnar analytics databases that can fall short on surfacing real-time insights. And it has led to well-diversified revenues across infrastructure monitoring, log management, and APM, a feat no other player in the market has accomplished. We believe Datadog's architecture, which also includes a top notch front end, serves as a moat vs. commodization concerns about OTel or LLM displacement.

Bits AI Opportunity. We believe that the Observability market may be understated by both future workload penetration and growth, especially when considering the emergence of agentic observability. We don't believe agents will replace humans, but rather supplement them to analyze an otherwise insurmountable amount of data. We see agents handling initial incident responses but agents are lightweight by design and will require extensive human oversight. The Bits AI suite is leading in its category and could serve as a new monetization lever for Datadog, perhaps via outcome-based pricing.

2026-2028 Estimates. We see revenue ultimately growing over 27% to \$4.356B in 2026, or 6% above consensus, including core +24%, OpenAI +16%, and other AI natives +220%. In 2027, we see OpenAI contributing about \$150M (down 55%), vs. zero previously, more than offset by core and other AI natives, resulting in 20% revenue growth, and reaccelerating to 25% in 2028. We see Anthropic reaching \$350M ARR by 2028 but don't see the same type of churn risk given their likely scale by that time. Based on our plausible scenario, we see non-GAAP operating margin of 24.5% this year and 26% in 2027.

Valuation. Our \$175 price target is based on a DCF and represents 11.6x our 2027 plausible revenue estimate and 41x EV/2027 FCF vs. current multiples of 7.5x and 27.0x, respectively.
Risks: 1) Large AI native revenue contribution materially misses our forecasts, 2) Threat of OTel, LLMs, and observability agents commoditizing Datadog's moat manifests.

Contents

Datadog: Upgrading to Buy and \$175 PT 3

Technology Moat and Structural Tailwinds 3

 Technology Moat 3

 Uniquely Diversified Revenue Base; Significant Room for Expansion 4

 Structural Tailwinds, Including AI Observability 4

 Observability Agents 5

2026-2028 Estimates 5

 2026 Guidance-Implied Revenue Estimates 5

 Plausible Revenue Scenario: 27% Growth in 2026 6

 We See 20% Growth in FY27; Reacceleration to 25% in FY28 7

 Potential Margin Expansion to Near 25% in 2026, 26% in 2027 11

GTM Investments Starting to Pay Off 11

Expansion into Security 12

Valuation and Risks 13

Datadog: Upgrading to Buy and \$175 PT

Key Message: We're upgrading DDOG shares to Buy from Neutral and introducing a \$175 PT, representing 50% upside. Based on our industry research and checks, we believe that Datadog is a primary beneficiary of AI-driven growth in data volumes and IT complexity. In our view, Datadog has a sophisticated backend architecture that has a deep moat against competition and potential commoditization via LLMs or OTel, uniquely strong revenue contribution from multiple products, and is leading the pack in terms of agentic observability (e.g., Bits AI SREs) that we believe is net expansionary to the Observability software market. Our previous hesitation on Datadog was its pronounced exposure to OpenAI whose plan we believe is still to move off entirely off Datadog. But our checks indicate the move will take longer than we initially expected, conveniently enabling a "graceful failover" to significantly growing contribution from 650 AI native customers including an 8-figure deal and largest new logo to date that we believe is Anthropic, in addition to an accelerating core business. We now see Datadog ultimately growing revenue 27% in 2026 (vs. our previous estimate of 24% and consensus at +20%) with 24.5% operating margin (vs. consensus at 21%). This includes core growth of 24% (unchanged), OpenAI growth of about 16% (vs. down 20% previously), and other AI natives (including Anthropic) growing 220% or about \$160M y/y. This implies 28% growth ex. OpenAI. Looking ahead, we still see a hole in 2027, albeit a smaller one now, driving 20% growth followed by reacceleration to 25% in 2028. Most importantly, core New ARR accelerated significantly over the last 3 quarters; we prudently assume deceleration to 20% in 2026-2028 vs. +40% in 2025. AI observability, Bits AI, and sales capacity and productivity increases are all potential levers for upside. Our \$175 PT implies 11.6x EV/2027 Rec Rev vs. 7.5x currently, using our plausible estimates.

Technology Moat and Structural Tailwinds

Technology Moat

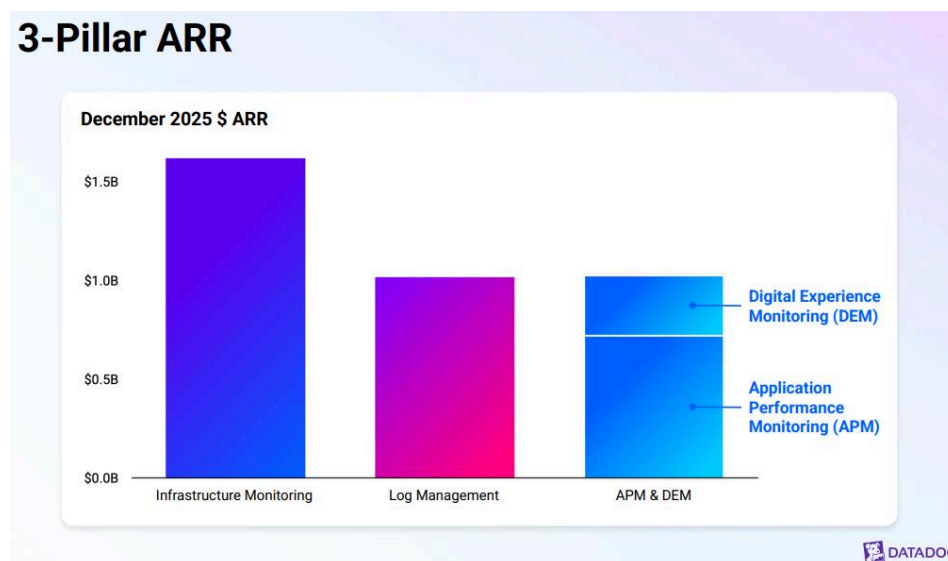
In our view, Datadog has perhaps the most sophisticated storage and query engines (the backend) in the Observability market. Metrics (Datadog's original core) is powered by Monocle, a time series database that stores real-time metrics data separately from an index of metadata tags. Combined with a massively parallel processing architecture, this separated index approach, which is on its 6th generation, enables ultra-fast real-time processing optimized for trillions of high cardinality metrics data per day. For anything related to events (logs, traces, synthetics, and security signals), Datadog uses its 3rd generation Husky engine, which is a schemaless columnar database built from the ground up that leverages object storage. Elastic storage from compute accommodates diverse workloads (e.g., high volume ingest for logs vs. real-time exploration for traces) that are managed via an orchestrator. For example, Husky has enabled products like Flex Logs, which enable teams to store and query massive volumes of logs at very low costs. Consistent tagging enables cross-pillar navigation and strong visualizations via best-in-class dashboards.

We believe Datadog's approach is superior for full-stack observability vs. unified data lakehouse or columnar analytics architectures used by many vendors that usually fall short on surfacing real-time metrics and APM insights. Datadog has extended its technical differentiation across 30+ product SKUs and counts over 1,000 prebuilt integrations that contain deep workflow logic. CEO Olivier Pomel has also said that it was a strategic decision early on to keep the server-side platform differentiated and give customers choice on the collection side, including OpenTelemetry (OTel) open source ingestion. We believe OTel expands penetration of the observability market by lowering costs and could highlight Datadog's backend differentiation.

Uniquely Diversified Revenue Base; Significant Room for Expansion

Most observability vendors have one claim to fame, e.g., Splunk [CSCO] in logs or Dynatrace [DT] in APM. Datadog is unique in its success across multiple observability pillars. Exiting 2025, out of \$4B of total ARR, infrastructure monitoring was \$1.6B (over 40%), while log management and the APM/DEM suite (includes RUM, database monitoring, synthetics, continuous profiler) were each over \$1B or 25%. Datadog is the market leader with about 14% share of \$24B in observability software vendor revenues in 2025 that is projected to grow at a 12% CAGR to reach \$38B in 2026, per Gartner. Note that Cisco (Splunk and AppDynamics) is a close second. As we explain in a concurrent industry report published with this note, we believe the market will grow in the high teens to at least \$46B by 2029 (or 20% greater than Gartner estimates), when accounting for understated workload penetration and understated workload growth, especially when taking into account the expansionary effects of AI observability.

Exhibit 1: Datadog's ARR by Major Product Group



Source: Datadog 2026 Investor Day Presentation (February 12, 2026)

Structural Tailwinds, Including AI Observability

AI adoption compounds IT complexity in ways that create new monitoring requirements. This complexity spans services across a diverse set of infrastructure components, networking equipment, end-user devices, edge computing, and containerized environments—resulting in an exponential amount of telemetry data that needs to be monitored and cross-correlated. Additionally, with the proliferation of agents, enterprises will need to monitor not just the systems and microservices traversed by agents, but also agent behavior, performance, and cost, in what is becoming a new adjacent category of AI observability. Datadog has built a comprehensive AI observability platform featuring LLM Observability with quality monitoring, hallucination detection, root cause analysis, and security capabilities, which it further expanded at DASH 2025 with AI Agent Monitoring for multi-agent systems, LLM Experiments for pre-production testing, and dedicated GPU Monitoring. Strong early adoption is evident, with Datadog reporting a 10x increase in LLM Observability spans over the past year and 5,500 customers (representing approximately 80% of ARR) utilizing AI integrations, as of its February 2026 analyst day.

Observability Agents

Another emerging trend within observability is agents performing observability that is done by humans today. Although this could cause fears of agents replacing humans, we believe agents will primarily supplement humans in analyzing an otherwise insurmountable amount of telemetry data. Agents will handle initial incident responses and low risk remediations while humans will continue to manage dashboards and make judgement calls. Over the near to medium term, we expect the amount of AI-driven telemetry data expansion to warrant widespread human-AI interaction with minimal impact on headcount, while new outcome-based pricing models could yield incremental monetization to vendors. We believe Datadog is leading the pack here with Bits AI.

Bits AI. Datadog's Bits AI is a suite of capabilities spanning monitoring, development, and security workflows. Bits AI SRE and Security Analyst are generally available, while Dev Agent is still in preview as of March 2026. Under the hood, Bits AI runs a continuous loop of observations, forming hypotheses, querying telemetry to validate or invalidate the hypotheses, and chaining investigative steps until it converges on the most likely root cause. Bits AI can access source code, RUM, database monitoring, network path, and continuous profiler data, enabling full-stack correlation across user sessions, infrastructure, database queries, and network layers. Additionally, the more incidents Bits AI processes, the better it gets, which should drive platform stickiness and could open a new pricing vector beyond per host or usage-based.

Additive, Not Cannibalistic. If Bits AI works well, it could reduce the number of engineers that need Datadog or other observability tools, reduce the volume of logs and traces that companies need to index or retain, since the agent makes targeted queries rather than humans browsing dashboards, and potentially reduce the number of observability SKUs a customer needs. But we believe the overall net telemetry that is generated from AI adoption will require extensive human-AI collaboration. Individual agents typically have lightweight instruction sets and are good at specialized tasks but will require careful human oversight to manage multiple agents. Additionally, Bits AI will likely consume massive amounts of telemetry that continues to flow through Datadog. Datadog could price Bits as a new SKU, as the value resides on top of existing ingested data, charging for AI-driven outcomes (e.g., resolved incidents, MTTR reduction), representing additive monetization.

2026-2028 Estimates

Refer to Exhibit 2 for our base revenue scenario that models to guidance and Exhibit 3 for our plausible revenue scenario (what we believe the company will ultimately report). Refer to Exhibit 4 for our detailed ARR build, including estimates for core vs. total AI natives, OpenAI, Anthropic, and remaining AI natives.

2026 Guidance-Implied Revenue Estimates

2026 total revenue guidance is for \$4.060-4.100B (+18.5-19.6%), while consensus is slightly above, at \$4.118B (+20.2%). Additionally, management said guidance implies revenue excluding the largest customer (OpenAI) will grow at least 20% y/y. We can build to the high end of revenue guidance assuming core revenue growth excluding AI natives decelerates to 20% (vs. +23% in 4Q25 and +20% in full-year 2025), OpenAI (largest customer) revenue declines by about 20% y/y, and other AI native revenue grows about 150% or \$105M y/y. We estimate guidance implies 23% growth excluding OpenAI. This seems prudently set to us, leaving room for ample upside throughout the year.

Plausible Revenue Scenario: 27% Growth in 2026

We see total revenue ultimately growing over 27% to \$4.356B in 2026, or about 6% above consensus. This is comprised of core growth of about 24%, OpenAI growth of 16%, and other AI native growth of 220% (about +\$160M y/y). Our plausible scenario implies 28% revenue growth excluding OpenAI. We detail our assumptions below. See Exhibit 3.

- **Core growth:** We are modeling Core New ARR +18% vs. +40% in FY25. Datadog's core New ARR accelerated significantly for 3 straight quarters in a row (2Q25-4Q25), we believe representative of structural tailwinds and better GTM execution. Our estimate implies \$132M of incremental New ARR y/y vs. \$215M in 2025 and \$19M in 2024. We could see further upside to our plausible estimate.
- **OpenAI:** Based on our checks, we believe OpenAI's plan to move the entirety of metrics, traces, and a small remaining subset of logs off Datadog remains unchanged, although the migrations have been slightly delayed due to challenges scaling alternative solutions. More importantly, there seems to be a long tail of Datadog products used by OpenAI that we had previously underappreciated, and although small vs. the three pillars, they are not insignificant if OpenAI's usage continues to grow at its current pace. Therefore, we are now assuming OpenAI revenue contribution will be about \$338M (+16% y/y), about \$100M higher than our previous estimate for about a 20% y/y decline.
- **Other AI natives:** Datadog reported having 650 AI native customers exiting 4Q25. Aside from OpenAI, we believe this also includes Anthropic (we believe this was the 8-figure deal with a foundational AI company and largest new logo ever, announced on the 4Q25 earnings call) and 17 other AI natives spending >\$1M in ARR. We estimate this group of Other AI natives will contribute revenue of \$229M in 2026, up 220% y/y or +\$157M vs. \$72M in 2025. Note that we model the individual groups of other AI natives ARR and forecast revenue using the aggregate ARR estimate; we don't separately model revenue for each group.
 - **Anthropic:** We estimate that Anthropic exited 2025 at about \$60M of ARR spend on Datadog and grows to over \$100M (75% y/y or about 15% q/q each quarter).
 - **Other AI natives spending >\$1M ARR:** As of 4Q25 there were 19 of these customers, up from 12 in 2Q25. Excluding OpenAI and Anthropic, there would be 17. We assume this group contributed about \$65M of ARR exiting 2025 and will nearly double to over \$124M in 2026. We assume average ARR per customer of about \$4M exiting 4Q25 for these >\$1M ARR customers, growing to about \$6M exiting 2026.
 - **Long tail of other AI natives.** Excluding the \$1M+ ARR AI natives, there were about 630 other AI natives exiting 2025, per the 4Q25 disclosure. We assume average ARR per customer of about \$75K vs. the overall company average of about \$110K. This results in \$85M of ARR, up about 80% vs. \$47M exiting 2025, by our estimates.
- **NNARR from New vs. Existing Customers.** If we assume that NNARR from new customers is about the same in 2026 as in 2025 (about \$260M), this implies about a 28% or \$200M y/y decline in NNARR from existing customers. We believe this would reasonably reflect lesser expansions from OpenAI in 2026 vs. 2025, partially offset by more expansions among core and other AI native customers.

We See 20% Growth in FY27; Reacceleration to 25% in FY28

Assuming our plausible revenue scenario plays out in FY26, we see total revenue growth decelerating to 20% in 2027, although off a much larger base, so we're 6% above consensus. The overall deceleration is due to our expectation that OpenAI churns, although with about \$150M of contribution vs. our previous expectation of zero, more than offset by growth in other AI natives; excluding OpenAI our implied revenue growth estimate is 26%. We see subsequent total revenue reacceleration to 25% growth in 2028, including core growth steady at 22% and ex. OpenAI revenue back to 28%. We explain our assumptions below:

- **Core:** We are modeling "core" revenue growth stable at 22% in FY27 and FY28 driven by New ARR growth of about 20% in both years.
- **OpenAI:** We believe OpenAI could continue to use Datadog products outside of the three pillars in 2027 (e.g., RUM, database monitoring, synthetics) as it attempts to find feature parity among alternatives for these product capabilities. We're modeling OpenAI revenue of \$150M in 2027 (down 55% y/y) now vs. no revenue in 2027 before. This creates a smaller revenue hole than we previously anticipated.
- **Other AI natives:** We estimate Anthropic's ARR spend on Datadog will exceed \$200M exiting 2027 and over \$350M exiting 2028. This potentially raises the risk of Anthropic deciding to move off Datadog like OpenAI. But by that time, we believe \$350M would represent a significantly smaller percentage of total revenue and total IT costs for Anthropic vs. OpenAI today. The two frontier labs seem to have taken different approaches to observability after carefully calculated decisions, perhaps driven by different consumer vs. enterprises mixes. For instance, we believe OpenAI's consumer heavy business generates substantially more telemetry that needs to be monitored vs. Anthropic. In short, we don't see the same level of churn risk with Anthropic. Including Anthropic, we see total other AI Native ARR exceeding \$600M in 2027 (up nearly 100% y/y), or about 12% of Total ARR, and over \$1B in 2028 (up 80% y/y) or 18% of Total ARR.

Exhibit 2: Datadog Base Revenue Scenario, 2023-2027E

\$ in millions, except per share data

	2023 Full Year	2024 Full Year	Mar-25 1Q25	Jun-25 2Q25	Sep-25 3Q25	Dec-25 4Q25	2025 Full Year	Mar-26 1Q26E	Jun-26 2Q26E	Sep-26 3Q26E	Dec-26 4Q26E	2026 (E) Full Year	Mar-27 1Q27E	Jun-27 2Q27E	Sep-27 3Q27E	Dec-27 4Q27E	2027 (E) Full Year
Revenue																	
Total Revenue	2,128.4	2,684.3	761.6	826.8	885.7	953.2	3,427.2	965.4	984.2	1,044.1	1,108.5	4,102.2	1,133.9	1,163.4	1,235.8	1,323.8	4,856.8
y/y growth	27.1%	26.1%	24.6%	28.1%	28.4%	29.2%	27.7%	26.8%	19.0%	17.9%	16.3%	19.7%	17.5%	18.2%	18.4%	19.4%	18.4%
q/q growth			3.2%	8.6%	7.1%	7.6%		1.3%	1.9%	6.1%	6.2%		2.3%	2.6%	6.2%	7.1%	
Consensus Estimate (VA)	2,106.8	2,661.7	741.0	791.2	852.4	918.2	3,427.2	959.6	992.9	1,046.0	1,111.5	4,118.1	1,134.8	1,188.6	1,252.0	1,332.1	4,925.9
% difference (above consensus)	1.0%	0.8%	2.8%	4.5%	3.9%	3.8%	0.0%	0.6%	-0.9%	-0.2%	-0.3%	-0.4%	-0.1%	-2.1%	-1.3%	-0.6%	-1.4%
y/y growth		25.1%		22.6%	23.5%	24.5%	27.7%	26.0%	20.1%	18.1%	16.6%	20.2%	18.3%	19.7%	19.7%	19.9%	19.6%
"Core" revenue	2,075.3	2,553.4	702.7	736.5	780.3	843.6	3,063.1	855.4	880.8	939.5	1,006.5	3,682.2	1,053.5	1,102.2	1,164.6	1,240.7	4,561.1
y/y growth	24.7%	23.0%	18.8%	18.4%	19.8%	22.6%	20.0%	21.7%	19.6%	20.4%	19.3%	20.2%	23.2%	25.1%	24.0%	23.3%	23.9%
% of total revenue	97.5%	95.1%	92.3%	89.1%	88.1%	88.5%	89.4%	88.6%	89.5%	90.0%	90.8%	89.8%	92.9%	94.7%	94.2%	93.7%	93.9%
AI Native revenue incremental growth	41.6	77.8	39.1	67.1	66.8	60.2	233.2	70.9	36.3	37.8	41.8	186.8	9.5	24.8	33.4	41.3	109.0
AI Native contribution to y/y growth	2.5%	3.7%	6.4%	10.4%	9.7%	8.2%	8.7%	9.3%	4.4%	4.3%	4.4%	5.5%	1.0%	2.5%	3.2%	3.7%	2.7%
AI Native revenue	53.1	130.9	58.8	90.3	105.4	109.6	364.1	110.0	103.4	104.6	101.9	420.0	80.4	61.1	71.2	83.1	295.8
y/y growth	362%	147%	199%	290%	173%	122%	178%	87%	15%	-1%	-7%	15%	-27%	-41%	-32%	-19%	-30%
% of total revenue	2.5%	4.9%	7.7%	10.9%	11.9%	11.5%	10.6%	11.4%	10.5%	10.0%	9.2%	10.2%	7.1%	5.3%	5.8%	6.3%	6.1%
OpenAI revenue	36.7	86.8	45.6	71.8	92.9	81.9	292.3	66.4	57.9	57.9	54.0	236.1	27.8	-	-	-	27.8
y/y growth	371%	136%	235.8%	357.7%	210.9%	196.5%	237%	45.4%	-19.4%	-37.7%	-34.1%	-19%	-58.1%	-100.0%	-100.0%	-100.0%	-88%
% of total revenue	1.7%	3.2%	6.0%	8.7%	10.5%	8.6%	8.5%	6.9%	5.9%	5.5%	4.9%	5.8%	2.5%	0.0%	0.0%	0.0%	0.6%
AI Native Revenue ex. OpenAI	16.3	44.1	13.2	18.4	12.5	27.7	71.8	43.6	45.6	46.7	48.0	183.9	52.6	61.1	71.2	83.1	268.0
y/y growth	343%	170%	115.8%	147.4%	42.9%	27.0%	63%	230.8%	147.1%	274.0%	73.4%	156%	20.5%	34.1%	52.3%	73.1%	46%
% of total revenue	0.8%	1.6%	1.7%	2.2%	1.4%	2.9%	2.1%	4.5%	4.6%	4.5%	4.3%	4.5%	4.6%	5.3%	5.8%	6.3%	5.5%
Revenue ex. OpenAI	2,091.6	2,597.5	715.9	755.0	792.8	871.2	3,134.9	899.0	926.3	986.3	1,054.5	3,866.1	1,106.1	1,163.4	1,235.8	1,323.8	4,829.0
y/y growth	25.5%	24.2%	19.8%	19.9%	20.1%	22.7%	20.7%	25.6%	22.7%	24.4%	21.0%	23.3%	23.0%	25.6%	25.3%	25.5%	24.9%
% of total revenue	98.3%	96.8%	94.0%	91.3%	89.5%	91.4%	91.5%	93.1%	94.1%	94.5%	95.1%	94.2%	97.5%	100.0%	100.0%	100.0%	99.4%

Source: Company reports, consensus via Visible Alpha, and Guggenheim Securities, LLC estimates and analysis

Exhibit 3: Datadog Plausible Revenue Scenario, 2023-2027E

\$ in millions, except per share data

	2023 Full Year	2024 Full Year	Mar-25 1Q25	Jun-25 2Q25	Sep-25 3Q25	Dec-25 4Q25	2025 Full Year	Mar-26 1Q26E	Jun-26 2Q26E	Sep-26 3Q26E	Dec-26 4Q26E	2026 (E) Full Year	Mar-27 1Q27E	Jun-27 2Q27E	Sep-27 3Q27E	Dec-27 4Q27E	2027 (E) Full Year
Revenue																	
Total Revenue	2,128.4	2,684.3	761.6	826.8	885.7	953.2	3,427.2	1,003.8	1,077.6	1,126.0	1,148.2	4,355.6	1,200.6	1,270.9	1,339.8	1,418.2	5,229.5
y/y growth	27.1%	26.1%	24.6%	28.1%	28.4%	29.2%	27.7%	31.8%	30.3%	27.1%	20.5%	27.1%	19.6%	17.9%	19.0%	23.5%	20.1%
q/q growth			3.2%	8.6%	7.1%	7.6%		5.3%	7.4%	4.5%	2.0%		4.6%	5.9%	5.4%	5.8%	
Consensus Estimate (VA)	2,106.8	2,661.7	741.0	791.2	852.4	918.2	3,427.2	959.6	992.9	1,046.0	1,111.5	4,118.1	1,134.8	1,188.6	1,252.0	1,332.1	4,925.9
% difference (above consensus)	1.0%	0.8%	2.8%	4.5%	3.9%	3.8%	0.0%	4.6%	8.5%	7.6%	3.3%	5.8%	5.8%	6.9%	7.0%	6.5%	6.2%
y/y growth		25.1%		22.6%	23.5%	24.5%	27.7%	26.0%	20.1%	18.1%	16.6%	20.2%	18.3%	19.7%	19.7%	19.9%	19.6%
"Core" revenue	2,075.3	2,553.4	702.7	736.5	780.3	843.6	3,063.1	871.0	917.4	970.4	1,029.9	3,788.7	1,070.4	1,120.9	1,184.4	1,259.0	4,634.8
y/y growth	24.7%	23.0%	18.8%	18.4%	19.8%	22.6%	20.0%	23.9%	24.6%	24.4%	22.1%	23.7%	22.9%	22.2%	22.0%	22.2%	22.3%
% of total revenue	97.5%	95.1%	92.3%	89.1%	88.1%	88.5%	89.4%	86.8%	85.1%	86.2%	89.7%	87.0%	89.2%	88.2%	88.4%	88.8%	88.6%
AI Native revenue incremental growth	41.6%	77.8%	39.1%	67.1%	66.8%	60.2%	233.2%	93.7%	93.2%	88.8%	58.1%	333.7%	36.5%	56.9%	66.7%	101.0%	261.0%
AI Native contribution to y/y growth	2.5%	3.7%	6.4%	10.4%	9.7%	8.2%	8.7%	12.3%	11.3%	10.0%	6.1%	9.7%	3.6%	5.3%	5.9%	8.8%	6.0%
AI Native revenue	53.1	130.9	58.8	90.3	105.4	109.6	364.1	132.8	160.3	155.5	118.3	566.9	130.1	150.1	155.4	159.1	594.8
y/y growth	362%	147%	199%	290%	173%	122%	178%	126%	78%	48%	8%	56%	-2%	-6%	0%	35%	5%
% of total revenue	2.5%	4.9%	7.7%	10.9%	11.9%	11.5%	10.6%	13.2%	14.9%	13.8%	10.3%	13.0%	10.8%	11.8%	11.6%	11.2%	11.4%
OpenAI revenue	36.7	86.8	45.6	71.8	92.9	81.9	292.3	88.1	108.7	94.7	46.7	338.2	45.5	49.6	36.4	18.2	149.6
y/y growth	371%	136%	235.8%	357.7%	210.9%	196.5%	237%	93.0%	51.4%	1.9%	-43.0%	16%	-48.3%	-54.4%	-61.6%	-61.1%	-56%
% of total revenue	1.7%	3.2%	6.0%	8.7%	10.5%	8.6%	8.5%	8.8%	10.1%	8.4%	4.1%	7.8%	3.8%	3.9%	2.7%	1.3%	2.9%
AI Native Revenue ex. OpenAI	16.3	44.1	13.2	18.4	12.5	27.7	71.8	44.7	51.5	60.9	71.6	228.7	84.7	100.5	119.1	141.0	445.2
y/y growth	343%	170%	115.8%	147.4%	42.9%	27.0%	63%	239.1%	179.5%	387.0%	158.8%	219%	89.3%	95.0%	95.7%	96.8%	95%
% of total revenue	0.8%	1.6%	1.7%	2.2%	1.4%	2.9%	2.1%	4.5%	4.8%	5.4%	6.2%	5.3%	7.1%	7.9%	8.9%	9.9%	8.5%
Revenue ex. OpenAI	2,091.6	2,597.5	715.9	755.0	792.8	871.2	3,134.9	915.7	968.9	1,031.3	1,101.5	4,017.4	1,155.1	1,221.3	1,303.5	1,400.0	5,079.9
y/y growth	25.5%	24.2%	19.8%	19.9%	20.1%	22.7%	20.7%	27.9%	28.3%	30.1%	26.4%	28.2%	26.1%	26.1%	26.4%	27.1%	26.4%
% of total revenue	98.3%	96.8%	94.0%	91.3%	89.5%	91.4%	91.5%	91.2%	89.9%	91.6%	95.9%	92.2%	96.2%	96.1%	97.3%	98.7%	97.1%

Source: Company reports, consensus via Visible Alpha, and Guggenheim Securities, LLC estimates and analysis

Exhibit 4: Datadog Detailed ARR Build

\$ in millions, except per share data

	2023 Full Year	2024 Full Year	Mar-25 1Q25	Jun-25 2Q25	Sep-25 3Q25	Dec-25 4Q25	2025 Full Year	Mar-26 1Q26E	Jun-26 2Q26E	Sep-26 3Q26E	Dec-26 4Q26E	2026 (E) Full Year	Mar-27 1Q27E	Jun-27 2Q27E	Sep-27 3Q27E	Dec-27 4Q27E	2027 (E) Full Year
Revenue Build - Ending ARR Estimates																	
Average ARR in Q - Total			3,046.2	3,307.0	3,542.6	3,812.8		4,015.1	4,310.5	4,504.0	4,592.8		4,802.4	5,083.7	5,359.4	5,672.7	
y/y change			24.6%	28.1%	28.4%	29.2%		31.8%	30.3%	27.1%	20.5%		19.6%	17.9%	19.0%	23.5%	
q/q change			3.2%	8.6%	7.1%	7.6%		5.3%	7.4%	4.5%	2.0%		4.6%	5.9%	5.4%	5.8%	
Estimated ARR at end of Q - Total	2,394.3	2,959.6	3,145.9	3,466.9	3,754.5	3,924.5	3,924.5	4,176.2	4,485.0	4,579.5	4,690.2	4,690.2	4,954.9	5,255.7	5,514.1	5,797.6	5,797.6
y/y change	25.9%	23.6%					32.6%	32.7%	29.4%	22.0%	19.5%	19.5%	18.6%	17.2%	20.4%	23.6%	23.6%
q/q change								6.4%	7.4%	2.1%	2.4%		5.6%	6.1%	4.9%	5.1%	
% Estimated ARR > Average ARR								4.0%	4.0%	1.7%	2.1%		3.2%	3.4%	2.9%	2.2%	
EoM linearity								34.7%	34.7%	33.9%	34.0%		34.4%	34.5%	34.3%	34.1%	
Average ARR in Q - Core			2,810.9	2,946.0	3,121.0	3,374.3		3,483.9	3,669.5	3,881.8	4,119.6		4,281.8	4,483.5	4,737.6	5,036.2	
Estimated ARR at end of Q - Core	2,322.5	2,782.0	2,878.5	3,033.5	3,247.7	3,441.8	3,441.8	3,586.1	3,780.0	4,012.2	4,211.5	4,211.5	4,384.0	4,616.1	4,894.1	5,132.6	5,132.6
y/y change	23.9%	19.8%	18.6%	19.1%	21.2%	23.7%	23.7%	24.6%	24.6%	23.5%	22.4%	22.4%	22.3%	22.1%	22.0%	21.9%	21.9%
q/q change								4.2%	5.4%	6.1%	5.0%		4.1%	5.3%	6.0%	4.9%	
% Estimated ARR > Average ARR								2.9%	3.0%	3.4%	2.2%		2.4%	3.0%	3.3%	1.9%	
EoM linearity								34.3%	34.3%	34.5%	34.1%		34.1%	34.3%	34.4%	34.0%	
AI Native customers % of Total ARR			8.5%	12.5%	13.5%	12.3%		14.1%	15.7%	12.4%	10.2%		11.5%	12.2%	11.2%	11.5%	
Estimated ARR at end of Q - AI Natives	71.8	177.6	267.4	433.4	506.9	482.7	482.7	590.0	704.9	567.2	478.7	478.7	570.8	639.6	620.0	664.9	664.9
y/y change	277.6%	147.2%	203.7%	288.1%	186.2%	171.8%	171.8%	120.7%	62.7%	11.9%	-0.8%	-0.8%	-3.3%	-9.3%	9.3%	38.9%	38.9%
q/q change								22.2%	19.5%	-19.5%	-15.6%		19.2%	12.1%	-3.1%	7.2%	
OpenAI ARR (estimate)	50.0	135.0	210.0	354.9	397.5	312.7	312.7	400.1	480.1	302.3	167.4	167.4	200.9	200.9	100.5	50.2	50.2
Logs			105.0	177.5	177.5	26.6		31.9	38.3	-	-		-	-	-	-	
Metrics			42.0	71.0	85.2	110.7		138.4	166.1	83.0	-		-	-	-	-	
Traces			42.0	71.0	85.2	110.7		132.9	159.4	79.7	-		-	-	-	-	
Other Products			21.0	35.5	49.7	64.6		96.9	116.3	139.5	167.4		200.9	200.9	100.5	50.2	
y/y change	212.5%	170.0%	250.0%	343.6%	183.9%	131.6%	131.6%	90.5%	35.3%	-24.0%	-46.5%	-46.5%	-49.8%	-58.2%	-66.8%	-70.0%	-70.0%
q/q change								28.0%	20.0%	-37.0%	-44.6%		20.0%	0.0%	-50.0%	-50.0%	
% of AI Native ARR			78.5%	81.9%	78.4%	64.8%		67.8%	68.1%	53.3%	35.0%		35.2%	31.4%	16.2%	7.6%	
Other AI Natives ARR (estimate)	21.8	42.6	57.4	78.5	109.4	170.0	170.0	189.9	224.8	265.0	311.3	311.3	369.9	438.7	519.5	614.7	614.7
y/y change	622.3%	95.0%	104.7%	147.8%	194.8%	299.4%	299.4%	230.9%	186.5%	142.2%	83.1%	83.1%	94.8%	95.2%	96.1%	97.5%	97.5%
q/q change								11.7%	32.2%	39.5%	38.5%		18.8%	40.9%	40.5%	40.1%	
Anthropic ARR			0.1	10.4	16.4	58.2	58.2	66.9	77.0	88.5	101.8	101.8	122.1	146.6	175.9	211.1	211.1
y/y growth								NM	642.8%	438.9%	74.9%	74.9%	82.5%	90.4%	98.7%	107.4%	107.4%
q/q change								15.0%	15.0%	15.0%	15.0%		20.0%	20.0%	20.0%	20.0%	
% of Other AI Native ARR			0.2%	13.2%	15.0%	34.2%		35.2%	34.2%	33.4%	32.7%	33%	33.0%	33.4%	33.9%	34.3%	34%
AI Native >\$1M Spend ARR			34.2	38.0	53.2	64.6	64.6	72.0	86.4	103.7	124.4	124.4	149.3	179.2	215.0	258.0	258.0
# of customers			9	10	14	17		18	19	20	21		22	23	24	25	
Average ARR per customer			3.8	3.8	3.8	3.8		4.0	4.5	5.2	5.9		6.8	7.8	9.0	10.3	
y/y growth								110.5%	127.4%	94.9%	92.6%	93%	107.4%	107.4%	107.4%	107.4%	107%
q/q change								11.5%	20.0%	20.0%	20.0%		20.0%	20.0%	20.0%	20.0%	
% of Other AI Native ARR			59.6%	48.4%	48.6%	38.0%		37.9%	38.4%	39.1%	40.0%	40%	40.4%	40.8%	41.4%	42.0%	42%
Long Tail AI Natives ARR			23.1	30.1	39.8	47.3	47.3	51.0	61.4	72.8	85.1	85.1	98.5	113.0	128.6	145.6	145.6
# of customers			330	430	530	630		680	780	880	980		1,080	1,180	1,280	1,380	
Average ARR per customer			\$ 0.070	\$ 0.070	\$ 0.075	\$ 0.075		\$ 0.075	\$ 0.079	\$ 0.083	\$ 0.087		\$ 0.091	\$ 0.096	\$ 0.101	\$ 0.106	
y/y growth								120.8%	104.1%	83.1%	80.1%	80%	93.1%	83.9%	76.8%	71.2%	71%
q/q change									20.4%	18.5%	16.9%		15.7%	14.7%	13.9%	13.2%	
% of Other AI Native ARR			40.2%	38.4%	36.3%	27.8%		26.9%	27.3%	27.5%	27.3%	27%	26.6%	25.7%	24.8%	23.7%	24%

Source: Company reports, consensus via Visible Alpha, and Guggenheim Securities, LLC estimates and analysis

Potential Margin Expansion to Near 25% in 2026, 26% in 2027

Initial 2026 non-GAAP operating margin of 21% implies total operating expense growth of about 20% vs. 32% in 2025. If Datadog achieves our plausible revenue scenario for 27% growth in 2026, holding our gross margin (80.5%) and opex assumptions unchanged, we see non-GAAP operating margin of 24.5% in 2026. Then, assuming our 2027 plausible revenue growth of 20% and opex growth slows to 17% while holding gross margin constant at 80.5%, we see non-GAAP operating margin expanding to 26%, above the long-term target of 25%+. See Exhibit 5.

Exhibit 5: Datadog's Enterprise Sales Capacity Expansion

	2026 Guidance	2026 Plausible
Revenue (\$M)	4,100	4,356
<i>y/y growth</i>	19.6%	27.1%
Non-GAAP Gross Profit (\$M)	3,301	3,506
<i>Non-GAAP Gross Margin</i>	80.5%	80.5%
Non-GAAP Opex (\$M)	2,440	2,440
<i>y/y growth</i>	21.4%	21.4%
Non-GAAP Operating Income (\$M)	861	1,067
<i>Non-GAAP Operating Margin</i>	21.0%	24.5%

	2026 Plausible	FY27 Plausible
Revenue (\$M)	4,356	5,230
<i>y/y growth</i>	27.1%	20.1%
Non-GAAP Gross Profit (\$M)	3,506	4,210
<i>Non-GAAP Gross Margin</i>	80.5%	80.5%
Non-GAAP Opex (\$M)	2,440	2,854
<i>y/y growth</i>	21.4%	17.0%
Non-GAAP Operating Income (\$M)	1,067	1,356
<i>Non-GAAP Operating Margin</i>	24.5%	25.9%

Source: Datadog 2026 Investor Day Presentation (February 12, 2026)

GTM Investments Starting to Pay Off

We recall on the 3Q25 earnings call in November 2025, CEO Olivier Pomel was asked about the biggest surprises vs. expectations at the beginning of the year, and he said the pace of enterprise AI adoption and the progress of GTM investments. CFO David Obstler has acknowledged underinvesting in sales capacity in 2023 and most of 2024 before turning up the dial in 2025, while in 2026 scaling the GTM team remains a priority. Further sales capacity and productivity ramps in 2026 and beyond could result in steady revenue growth and improving operating margin beyond the 25% long-term target.

At the February 2026 investor day, CRO Sean Walters detailed the company's GTM efforts, which span greater new logo penetration, increasing different type of account reps, and

geographic expansion. Datadog's GTM approach is broken down into the Enterprise, Commercial and Self-Serve segments. The average land size of Enterprise deals has tripled to \$75K ARR exiting 2025 vs. \$25K in 2020, while the average Enterprise ARR is about \$500K today vs. about \$175K in 2020. However, average ARR among Fortune 500 accounts is only \$450K and penetration is still below 50%. To increase penetration of Enterprise accounts, Datadog added about 100 strategic account reps in 2025 (now at about 520) in addition to doubling the number of Major Account (targeting the highest spending customers) and Key Account (targeting the most complex organizations) reps, now at about 80 exiting 2025. Geographic expansion into new markets include Mexico, Brazil, Korea, and India. Datadog also continues to increase sales from the channel ecosystem, which accounts for 15% of Total ARR today vs. only 4% in 2020.

Exhibit 6: Datadog's Enterprise Sales Capacity Expansion

Enterprise sales team



Source: Datadog 2026 Investor Day Presentation (February 12, 2026)

Expansion into Security

Datadog's expansion into security, which is over \$100M ARR exiting 2025 (over 2% of Total ARR), is another promising opportunity. Datadog's security strategy is to provide end-to-end, cloud-first security tightly integrated with observability, shifting customers from reactive detection to proactive prevention and remediation. The security portfolio spans cloud security (e.g., cloud workload protection, cloud security posture management), code security (SCA, SAST, IAST, IaC remediation, secret scanning), cloud SIEM (with content anomaly detection, investigator, and log anomaly detection), data security (sensitive data scanner, AI Guard), and application and API protection. These are anchored by Bits AI Security Analyst and Bits AI Security Agent for AI-assisted detection, investigation, and response. Datadog already has over 8,500 security customers, including about one quarter of the Fortune 500, and Datadog itself runs on its own security stack. Around 70% of \$1M+ ARR customers use at least one Datadog security product, although among these customers, security ARR represents only 2% total ARR, representing substantial wallet-share headroom. Go-to-market investments include dedicated security sales engineers, security-focused channels and resellers, and targeting security buyers while leveraging consolidation benefits for organizations unifying observability and security on one platform.

Valuation and Risks

Valuation. Our \$175 price target is based on a DCF and represents 11.6x our 2027 plausible revenue estimate and 41x EV/2027 FCF (vs. current multiples of 7.5x and 27.0x, respectively, using our plausible estimates. DDOG shares are down 14% YTD (vs. IGV down 25%).

Downside risks: 1) Large AI native revenue contribution materially misses our forecasts, 2) Threat of OTel, LLMs, and observability agents commoditizing Datadog's moat manifests.

Exhibit 7 - Datadog GAAP Income Statement

\$ in millions, except per share data

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	2025	Mar-26	Jun-26	Sep-26	Dec-26	2026 (E)	Mar-27	Jun-27	Sep-27	Dec-27	2027 (E)
	Full Year	Full Year	Full Year	Full Year	Full Year	1Q25	2Q25	3Q25	4Q25	Full Year	1Q26E	2Q26E	3Q26E	4Q26E	Full Year	1Q27E	2Q27E	3Q27E	4Q27E	Full Year
GAAP Income Statement																				
Total Revenue	603.5	1,028.8	1,675.1	2,128.4	2,684.3	761.6	826.8	885.7	953.2	3,427.2	965.4	984.2	1,044.1	1,108.5	4,102.2	1,133.9	1,163.4	1,235.8	1,323.8	4,856.8
y/y growth	66.3%	70.5%	62.8%	27.1%	26.1%	24.6%	28.1%	28.4%	29.2%	27.7%	26.8%	19.0%	17.9%	16.3%	19.7%	17.5%	18.2%	18.4%	19.4%	18.4%
Cost of Revenue	130.2	234.2	346.7	409.9	515.5	157.6	166.0	176.5	186.9	687.0	199.6	203.5	215.9	229.2	848.3	228.3	234.3	248.9	266.6	978.1
% of revenue	21.6%	22.8%	20.7%	19.3%	19.2%	20.7%	20.1%	19.9%	19.6%	20.0%	20.7%	20.7%	20.7%	20.7%	20.7%	20.1%	20.1%	20.1%	20.1%	20.1%
Gross Profit	473.3	794.5	1,328.4	1,718.5	2,168.7	603.9	660.8	709.2	766.3	2,740.2	765.8	780.7	828.2	879.2	3,253.9	905.5	929.1	986.9	1,057.2	3,878.7
Gross Margin	78.4%	77.2%	79.3%	80.7%	80.8%	79.3%	79.9%	80.1%	80.4%	80.0%	79.3%	79.3%	79.3%	79.3%	79.3%	79.9%	79.9%	79.9%	79.9%	79.9%
Operating Expenses																				
Research and Development	210.6	419.8	752.4	962.4	1,152.7	341.1	387.5	402.0	417.9	1,548.5	408.1	437.7	449.6	465.9	1,761.3	466.6	504.2	518.2	541.5	2,030.6
% of revenue	34.9%	40.8%	44.9%	45.2%	42.9%	44.8%	46.9%	45.4%	43.8%	45.2%	42.3%	44.5%	43.1%	42.0%	42.9%	41.1%	43.3%	41.9%	40.9%	41.8%
Sales and Marketing	213.7	299.5	495.3	609.3	756.6	214.3	239.0	238.7	264.4	956.4	275.8	274.0	284.2	311.8	1,145.8	315.9	315.6	327.6	363.1	1,322.1
% of revenue	35.4%	29.1%	29.6%	28.6%	28.2%	28.1%	28.9%	27.0%	27.7%	27.9%	28.6%	27.8%	27.2%	28.1%	27.9%	27.9%	27.1%	26.5%	27.4%	27.2%
General and Administrative	62.8	94.4	139.4	180.2	205.2	61.0	69.8	74.3	74.6	279.7	72.9	74.3	78.8	83.7	309.7	84.2	86.3	91.7	98.3	360.5
% of revenue	10.4%	9.2%	8.3%	8.5%	7.6%	8.0%	8.4%	8.4%	7.8%	8.2%	7.5%	7.5%	7.5%	7.5%	7.5%	7.4%	7.4%	7.4%	7.4%	7.4%
Total Operating Expenses	487.0	813.7	1,387.1	1,751.9	2,114.5	616.3	696.3	715.0	756.9	2,784.6	756.8	785.9	812.6	861.4	3,216.8	866.6	906.2	937.6	1,002.9	3,713.2
% of revenue	80.7%	79.1%	82.8%	82.3%	78.8%	80.9%	84.2%	80.7%	79.4%	81.3%	78.4%	79.9%	77.8%	77.7%	78.4%	76.4%	77.9%	75.9%	75.8%	76.5%
Operating Income	(13.8)	(19.2)	(58.7)	(33.5)	54.3	(12.4)	(35.5)	(5.8)	9.4	(44.4)	9.0	(5.2)	15.6	17.8	37.2	38.9	22.9	49.3	54.4	165.5
Operating Margin	-2.3%	-1.9%	-3.5%	-1.6%	2.0%	-1.6%	-4.3%	-0.7%	1.0%	-1.3%	0.9%	-0.5%	1.5%	1.6%	0.9%	3.4%	2.0%	4.0%	4.1%	3.4%
Other Income:																				
Interest Expense	(29.7)	(21.1)	(16.5)	(6.3)	(7.1)	(3.0)	(3.1)	(2.4)	(2.6)	(11.1)	-	-	-	-	-	-	-	-	-	-
Interest Income and other income, net	21.3	21.8	37.2	100.0	156.7	47.2	44.7	43.9	46.7	182.5	33.6	35.5	36.9	38.8	144.8	48.2	51.1	45.9	48.5	193.8
Other Income, net	(8.4)	0.7	20.6	93.7	149.7	44.2	41.6	41.5	44.1	171.4	33.6	35.5	36.9	38.8	144.8	48.2	51.1	45.9	48.5	193.8
Income (Loss) Before Taxes	(22.2)	(18.4)	(38.1)	60.2	203.9	31.8	6.1	35.7	53.5	127.0	42.6	30.3	52.5	56.6	182.0	87.2	74.0	95.3	102.8	359.3
Income Tax Expense (Benefit)	2.3	2.3	12.1	11.7	20.2	7.2	3.4	1.8	6.9	19.3	9.8	7.0	12.1	13.0	41.9	20.0	17.0	21.9	23.7	82.6
Tax Rate	NM	NM	NM	19.4%	9.9%	22.5%	56.5%	5.0%	12.9%	15.2%	23.0%	23.0%	23.0%	23.0%	23.0%	23.0%	23.0%	23.0%	23.0%	23.0%
Net Income	(24.5)	(20.7)	(50.2)	48.6	183.7	24.6	2.6	33.9	46.6	107.7	32.8	23.3	40.5	43.6	140.1	67.1	57.0	73.4	79.2	276.6
GAAP EPS																				
Shares Outstanding																				
Basic	300.4	309.0	315.4	324.0	336.2	343.1	346.2	348.6	350.9	347.2	354.1	357.2	360.5	363.7	358.9	366.6	369.5	372.5	375.5	371.0
y/y growth	114.7%	2.9%	2.1%	2.7%	3.8%	3.4%	3.4%	3.3%	3.1%	3.3%	3.2%	3.2%	3.4%	3.6%	3.4%	3.5%	3.4%	3.3%	3.2%	3.4%
Diluted	300.4	309.0	315.4	336.5	357.8	363.1	358.7	362.0	365.5	362.3	354.1	357.2	360.5	363.7	358.9	366.6	369.5	372.5	375.5	371.0
y/y growth	114.7%	2.9%	2.1%	6.7%	6.3%	2.0%	0.6%	1.2%	1.3%	1.3%	-2.5%	-0.4%	-0.4%	-0.5%	-1.0%	3.5%	3.4%	3.3%	3.2%	3.4%

Source: Company reports, consensus via Visible Alpha, Guggenheim Securities, LLC estimates and analysis

Exhibit 8 - Datadog Non-GAAP Income Statement

\$ in millions, except per share data

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	2025	Mar-26	Jun-26	Sep-26	Dec-26	2026 (E)	Mar-27	Jun-27	Sep-27	Dec-27	2027 (E)
	Full Year	Full Year	Full Year	Full Year	Full Year	1Q25	2Q25	3Q25	4Q25	Full Year	1Q26E	2Q26E	3Q26E	4Q26E	Full Year	1Q27E	2Q27E	3Q27E	4Q27E	Full Year
Non-GAAP Income Statement																				
Total Revenue	603.5	1,028.8	1,675.1	2,128.4	2,684.3	761.6	826.8	885.7	953.2	3,427.2	965.4	984.2	1,044.1	1,108.5	4,102.2	1,133.9	1,163.4	1,235.8	1,323.8	4,856.8
y/y growth	66.3%	70.5%	62.8%	27.1%	26.1%	24.6%	28.1%	28.4%	29.2%	27.7%	26.8%	19.0%	17.9%	16.3%	19.7%	17.5%	18.2%	18.4%	19.4%	18.4%
q/q growth						3.2%	-69.2%	7.1%	7.6%		1.3%	1.9%	6.1%	6.2%		2.3%	2.6%	6.2%	7.1%	
Cost of Revenue	127.3	225.5	328.9	383.9	483.2	149.9	157.5	166.8	176.9	651.1	188.3	191.9	203.6	216.1	799.9	215.4	221.0	234.8	251.5	922.8
% of revenue	21.1%	21.9%	19.6%	18.0%	18.0%	19.7%	19.1%	18.8%	18.6%	19.0%	19.5%	19.5%	19.5%	19.5%	19.5%	19.0%	19.0%	19.0%	19.0%	19.0%
Gross Profit	476.2	803.2	1,346.2	1,744.4	2,201.1	611.7	669.2	718.9	776.3	2,776.1	777.1	792.3	840.5	892.3	3,302.3	918.4	942.3	1,001.0	1,072.3	3,934.0
Gross Margin	78.9%	78.1%	80.4%	82.0%	82.0%	80.3%	80.9%	81.2%	81.4%	81.0%	80.5%	80.5%	80.5%	80.5%	80.5%	81.0%	81.0%	81.0%	81.0%	81.0%
Operating Expenses																				
Research and Development	169.8	309.7	61%	21%	26%	225.7	263.2	269.5	280.3	1038.7	286.2	313.3	317.7	325.9	1243.2	330.4	364.6	369.9	382.6	1447.5
% of revenue	28.1%	30.1%	30.1%	29.5%	28.2%	29.6%	31.8%	30.4%	29.4%	30.3%	29.6%	31.8%	30.4%	29.4%	30.3%	29.1%	31.3%	29.9%	28.9%	29.8%
Sales and Marketing	189.6	257.5	415.0	500.6	629.0	178.4	200.0	195.5	219.1	793.1	235.8	233.2	240.9	265.9	975.9	271.3	269.8	279.0	311.0	1131.1
% of revenue	31.4%	25.0%	24.8%	23.5%	23.4%	23.4%	24.2%	22.1%	23.0%	23.1%	24.4%	23.7%	23.1%	24.0%	23.8%	23.9%	23.2%	22.6%	23.5%	23.3%
General and Administrative	47.9	71.0	100.1	125.7	139.6	41.0	43.3	46.5	46.8	177.6	48.3	49.2	52.2	55.4	205.1	56.7	58.2	61.8	66.2	242.8
% of revenue	7.9%	6.9%	6.0%	5.9%	5.2%	5.4%	5.2%	5.2%	4.9%	5.2%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Total Operating Expenses	407.3	638.2	1,019.9	1,254.2	1,526.8	445.2	506.5	511.5	546.2	2,009.4	570.2	595.8	610.9	647.3	2,424.1	658.4	692.6	710.7	759.8	2,821.4
y/y growth	48.6%	56.7%	59.8%	21.7%	21.7%	29.2%	36.2%	32.2%	28.9%	31.6%	28.1%	17.6%	19.4%	18.5%	20.6%	15.5%	16.2%	16.3%	17.4%	16.4%
% of revenue	67.5%	62.0%	60.9%	58.9%	56.9%	58.5%	61.3%	57.8%	57.3%	58.6%	59.1%	60.5%	58.5%	58.4%	59.1%	58.1%	59.5%	57.5%	57.4%	58.1%
Operating Income	68.9	165.1	326.3	490.2	674.2	166.5	162.7	207.4	230.1	766.7	206.9	196.5	229.6	245.0	878.1	260.0	249.7	290.3	312.5	1,112.6
Operating Margin	11.4%	16.0%	19.5%	23.0%	25.1%	21.9%	19.7%	23.4%	24.1%	22.4%	21.4%	20.0%	22.0%	22.1%	21.4%	22.9%	21.5%	23.5%	23.6%	22.9%
Consensus Estimate (VA)				21.6%	24.9%	22.4%	19.2%	21.0%	24.0%	22.4%	21.2%	20.2%	21.8%	22.2%	21.5%	22.2%	21.7%	23.2%	23.6%	22.9%
Margin Variance (bps)				141	19	0	48	0	9	(4)	0	(28)	0	(13)	(5)	0	(23)	(0)	(0)	5
Other Income:																				
Interest Expense	(11.0)	(17.7)	(13.2)	(2.9)	(3.3)	(1.1)	(1.4)	(1.4)	(1.6)	(5.5)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest Income and other income, net	21.3	21.8	37.2	100.0	156.7	47.2	44.7	43.9	46.7	182.5	33.6	35.5	36.9	38.8	144.8	48.2	51.1	45.9	48.5	193.8
Other Income, net	10.3	4.1	24.0	97.1	153.4	46.0	43.3	42.5	45.2	177.0	33.6	35.5	36.9	38.8	144.8	48.2	51.1	45.9	48.5	193.8
Income Before Taxes	79.2	169.1	350.3	587.3	827.6	212.5	206.0	249.9	275.2	943.7	240.5	232.0	266.6	283.9	1022.9	308.3	300.8	336.3	361.0	1306.4
Income Tax Expense (Benefit)	7.9	2.3	73.6	123.3	173.8	44.6	42.2	52.5	57.8	197.1	52.9	48.7	56.0	59.6	217.2	64.7	63.2	70.6	75.8	274.3
Tax Rate	10.0%	1.4%	21.0%	21.0%	21.0%	21.0%	20.5%	21.0%	21.0%	20.9%	22.0%	21.0%	21.0%	21.0%	21.2%	21.0%	21.0%	21.0%	21.0%	21.0%
Net Income	71.3	166.8	276.7	464.0	653.8	167.9	163.8	197.410	217.4	746.6	187.6	183.3	210.6	224.2	805.7	243.5	237.7	265.7	285.2	1032.0
Non-GAAP EPS																				
	\$0.21	\$0.48	\$0.80	\$1.33	\$1.83	\$0.46	\$0.46	\$0.55	\$0.59	\$2.06	\$0.51	\$0.50	\$0.57	\$0.59	\$2.17	\$0.66	\$0.64	\$0.71	\$0.75	\$2.75
y/y growth	6474.5%	125.7%	65.0%	65.8%	37.7%	4.4%	6.5%	17.7%	21.0%	12.8%	10.7%	9.1%	4.0%	-0.3%	5.4%	28.5%	27.8%	24.5%	26.8%	26.8%
q/q growth						-6.0%	-1.2%	19.4%	9.1%		-14.0%	-2.7%	13.9%	4.5%		10.9%	-3.2%	10.9%	6.5%	
Shares Outstanding																				
Basic	300.4	309.0	315.4	324.0	336.2	343.1	346.2	348.6	350.9	347.2	354.1	357.2	360.5	363.7	358.9	366.6	369.5	372.5	375.5	371.0
y/y growth	114.7%	2.9%	2.1%	2.7%	3.8%	3.4%	3.4%	3.3%	3.1%	3.3%	3.2%	3.2%	3.4%	3.6%	3.4%	3.5%	3.4%	3.3%	3.2%	3.4%
q/q growth						0.8%	0.9%	0.7%	0.6%		0.9%	0.9%	0.9%	0.9%		0.8%	0.8%	0.8%	0.8%	
Diluted	331.9	344.0	345.7	349.7	357.8	363.1	358.7	362.0	365.5	362.3	366.4	368.0	371.3	378.2	371.0	370.3	373.2	376.2	379.2	374.7
y/y growth	137.3%	3.6%	0.5%	1.1%	2.3%	2.0%	0.6%	1.2%	1.3%	1.3%	0.9%	2.6%	2.6%	3.5%	2.4%	1.0%	1.4%	1.3%	0.3%	1.0%
q/q growth						0.6%	0.3%	-0.3%	1.0%		0.3%	0.4%	0.9%	1.9%		-2.1%	0.8%	0.8%	0.8%	

Source: Company reports, consensus via Visible Alpha, Guggenheim Securities, LLC estimates and analysis

Exhibit 9 - Datadog Balance Sheet

\$ in millions, except per share data

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	2025	Mar-26	Jun-26	Sep-26	Dec-26	2026 (E)	Mar-27	Jun-27	Sep-27	Dec-27	2027 (E)
	Full Year	Full Year	Full Year	Full Year	Full Year	1Q25	2Q25	3Q25	4Q25	Full Year	1Q26E	2Q26E	3Q26E	4Q26E	Full Year	1Q27E	2Q27E	3Q27E	4Q27E	Full Year
Balance Sheet																				
Current assets																				
Cash and cash equivalents	224.9	271.0	339.0	330.3	1,247.0	1,079.9	489.0	540.6	401.3	401.3	659.3	851.9	1,100.3	1,440.7	1,440.7	1,765.2	2,052.5	2,389.0	2,804.0	2,804.0
Marketable securities	1,292.5	1,283.5	1,545.3	2,252.6	2,942.1	3,369.8	3,421.9	3,599.7	4,073.5	4,073.5	4,073.5	4,073.5	4,073.5	4,073.5	4,073.5	4,073.5	4,073.5	4,073.5	4,073.5	4,073.5
Accounts receivable, net	163.4	268.8	399.6	509.3	598.9	490.2	604.2	549.6	741.3	741.3	529.0	614.8	629.3	801.7	801.7	708.3	764.9	744.8	1,015.5	1,015.5
Deferred contract costs, current	13.6	23.2	33.1	44.9	56.1	58.8	62.1	67.2	76.0	76.0	81.1	81.6	81.8	80.8	80.8	87.3	88.9	90.0	90.0	90.0
Prepaid expenses and other current assets	23.6	24.4	27.3	41.0	67.0	77.7	67.4	80.9	90.2	90.2	86.8	80.5	75.6	88.7	88.7	101.9	95.1	89.5	105.9	105.9
Total current assets	1,718.1	1,870.9	2,344.2	3,178.1	4,911.1	5,076.3	4,644.7	4,838.1	5,382.3	5,382.3	5,429.7	5,702.3	5,960.5	6,485.4	6,485.4	6,736.2	7,075.0	7,386.8	8,088.9	8,088.9
Non-current assets																				
Property and equipment, net	47.2	75.2	125.3	171.9	227.0	249.9	283.1	307.6	338.1	338.1	357.4	382.8	409.0	431.5	431.5	452.6	481.3	511.0	536.9	536.9
Operating lease assets	57.8	61.4	87.6	126.6	172.5	203.1	215.6	218.7	214.7	214.7	214.7	214.7	214.7	214.7	214.7	214.7	214.7	214.7	214.7	214.7
Goodwill	17.6	292.2	348.3	352.7	360.4	361.7	531.0	530.0	530.6	530.6	530.6	530.6	530.6	530.6	530.6	530.6	530.6	530.6	530.6	530.6
Intangible assets, net	2.1	15.7	16.4	9.6	3.7	2.6	17.2	16.8	15.0	15.0	15.1	15.2	15.0	14.5	14.5	13.8	13.0	11.8	10.2	10.2
Deferred contract costs, non-current	26.8	42.1	55.3	73.7	86.6	90.5	95.6	105.9	126.7	126.7	124.7	125.7	128.9	134.7	134.7	134.2	136.9	141.9	149.9	149.9
Restricted cash	3.8	3.5	3.3	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other assets	17.0	19.9	24.4	23.5	24.1	26.2	35.2	35.3	36.6	36.6	54.3	43.3	47.3	57.5	57.5	63.8	51.2	56.0	68.7	68.7
Total assets	1,890.3	2,380.8	3,004.9	3,936.1	5,785.3	6,010.4	5,822.4	6,052.5	6,643.8	6,643.8	6,726.4	7,014.5	7,306.0	7,868.9	7,868.9	8,145.9	8,502.6	8,852.8	9,599.9	9,599.9
Current liabilities																				
Accounts payable	21.3	25.3	23.5	87.7	107.7	98.4	198.8	135.2	148.8	148.8	165.0	168.3	178.5	189.5	189.5	188.9	193.8	205.8	220.5	220.5
Accrued expenses and other current liabilities	55.4	111.3	171.2	127.6	127.1	138.2	148.0	175.2	209.6	209.6	115.8	118.1	133.6	133.0	133.0	136.1	116.3	108.7	158.9	158.9
Operating lease liabilities, current	16.3	20.2	22.1	22.0	32.0	34.2	40.0	36.0	39.4	39.4	39.4	39.4	39.4	39.4	39.4	39.4	39.4	39.4	39.4	39.4
Convertible Senior Notes	-	-	-	-	634.0	634.8	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred revenue, current	204.8	372.0	543.0	765.7	961.9	949.1	966.4	974.3	1,193.6	1,193.6	1,164.3	1,235.2	1,263.2	1,561.9	1,561.9	1,551.2	1,654.0	1,704.8	2,069.5	2,069.5
Total current liabilities	297.8	528.7	759.7	1,003.1	1,862.7	1,854.8	1,353.2	1,320.7	1,591.4	1,591.4	1,484.6	1,560.9	1,614.7	1,923.7	1,923.7	1,915.5	2,003.5	2,058.8	2,488.2	2,488.2
Long term liabilities																				
Operating lease liabilities, non-current	51.4	52.1	76.6	138.1	196.9	228.0	243.1	260.9	256.2	256.2	256.2	256.2	256.2	256.2	256.2	256.2	256.2	256.2	256.2	256.2
Convertible senior notes, net	575.9	735.5	738.8	742.2	979.3	980.3	981.4	982.4	983.4	983.4	981.1	981.1	981.1	981.1	981.1	981.1	981.1	981.1	981.1	981.1
Deferred revenue, non-current	3.5	13.9	12.9	21.2	22.7	21.6	29.9	29.0	68.7	68.7	29.1	30.9	31.6	39.0	39.0	38.8	41.3	42.6	51.7	51.7
Other liabilities	4.3	9.4	6.2	6.1	9.4	9.0	19.1	20.3	11.9	11.9	24.6	24.3	22.4	14.7	14.7	28.9	28.7	26.5	17.6	17.6
Total Liabilities	932.9	1,339.6	1,594.3	1,910.7	3,071.0	3,093.7	2,626.7	2,613.4	2,911.6	2,911.6	2,775.6	2,853.4	2,906.0	3,214.8	3,214.8	3,220.5	3,310.8	3,365.2	3,794.8	3,794.8
Stockholders' equity	957.4	1,041.2	1,410.5	2,025.4	2,714.4	2,916.7	3,195.8	3,439.1	3,732.2	3,732.2	3,950.8	4,161.1	4,400.0	4,654.2	4,654.2	4,925.4	5,191.8	5,487.6	5,805.0	5,805.0
Total liabilities and shareholders' equity	1,890.3	2,380.8	3,004.9	3,936.1	5,785.3	6,010.4	5,822.4	6,052.5	6,643.8	6,643.8	6,726.4	7,014.5	7,306.0	7,868.9	7,868.9	8,145.9	8,502.6	8,852.8	9,599.9	9,599.9

Source: Company reports, consensus via visible alpha, Guggenheim Securities, LLC estimates and analysis

Exhibit 10 - Datadog Cash Flow Statement

\$ in millions, except per share data

	2020	2021	2022	2023	2024	Mar-25	Jun-25	Sep-25	Dec-25	2025	Mar-26	Jun-26	Sep-26	Dec-26	2026 (E)	Mar-27	Jun-27	Sep-27	Dec-27	2027 (E)
	Full Year	Full Year	Full Year	Full Year	Full Year	1Q25	2Q25	3Q25	4Q25	Full Year	1Q26E	2Q26E	3Q26E	4Q26E	Full Year	1Q27E	2Q27E	3Q27E	4Q27E	Full Year
Cash Flow Statement																				
Cash from Operating Activities																				
Net income (loss)	(24.5)	(20.7)	(50.2)	48.6	183.7	24.6	2.6	33.9	46.6	107.7	32.8	23.3	40.5	43.6	140.1	67.1	57.0	73.4	79.2	276.6
Depreciation and amortization	15.5	22.9	34.6	44.5	54.9	11.3	12.8	15.0	16.6	55.8	20.0	20.8	23.2	24.9	88.9	25.0	25.9	28.8	30.9	110.6
Amortization of discounts or premiums on marketable securities	9.8	16.2	4.7	(41.6)	(51.9)	(10.4)	(10.9)	(10.9)	(12.4)	(44.5)	-	-	-	-	-	-	-	-	-	-
Amortization of issuance costs	18.7	3.3	3.4	3.4	3.8	1.8	1.7	1.0	1.0	5.6	0.0	0.0	0.0	0.0	-	0.0	0.0	0.0	0.0	-
Amortization of deferred contract costs	10.4	17.9	28.0	39.2	52.0	14.9	16.0	17.3	18.7	66.9	21.1	23.0	22.8	22.8	89.7	22.4	24.8	24.8	25.1	97.1
Stock-based compensation, net of amounts capitalized	74.4	163.7	363.2	482.3	570.3	164.3	180.5	200.6	205.4	750.7	183.4	187.0	198.4	210.6	779.4	204.1	209.4	222.4	238.3	874.2
Non-cash lease expense	14.1	17.2	21.4	26.4	27.3	8.4	9.0	9.1	9.0	35.5	-	-	-	-	-	-	-	-	-	-
Allowance for credit losses on accounts receivable	3.3	2.3	5.2	11.9	14.8	4.5	3.9	4.0	4.6	17.0	-	-	-	-	-	-	-	-	-	-
Loss on disposal of property and equipment	0.0	0.3	1.7	0.7	1.7	(0.1)	1.0	1.3	(0.0)	2.1	-	-	-	-	-	-	-	-	-	-
Other	-	-	-	-	0.6	-	0.0	0.0	0.0	-	-	-	-	-	-	-	-	-	-	-
Working Capital:	(12.5)	63.4	6.4	44.6	13.3	52.3	(16.5)	(19.8)	37.5	53.5	40.1	(15.3)	12.8	85.4	123.0	51.4	24.0	44.4	96.7	216.4
Accounts receivable, net	(64.2)	(107.1)	(135.7)	(121.7)	(104.5)	104.2	(115.9)	50.6	(196.3)	(157.4)	212.3	(85.8)	(14.5)	(172.4)	(60.5)	93.4	(56.7)	20.1	(270.7)	(213.8)
Deferred contract costs	(25.1)	(42.8)	(51.1)	(69.5)	(76.0)	(21.5)	(24.3)	(32.7)	(48.3)	(126.8)	(24.1)	(24.6)	(26.1)	(27.7)	(102.6)	(28.3)	(29.1)	(30.9)	(33.1)	(121.4)
Prepaid expenses and other current assets	(4.4)	(0.7)	(6.6)	(13.5)	(26.7)	(10.3)	11.3	(13.1)	(9.3)	(21.3)	3.4	6.3	4.9	(13.1)	1.5	(13.2)	6.8	5.6	(16.4)	(17.2)
Other assets	1.0	(2.6)	(5.2)	1.0	(1.0)	(1.2)	(1.8)	(0.2)	(0.6)	(3.8)	(17.7)	11.0	(4.0)	(10.2)	(21.0)	(6.2)	12.6	(4.8)	(12.7)	(11.2)
Accounts payable	6.5	3.1	(1.3)	57.8	25.6	(10.7)	96.4	(61.3)	12.3	36.6	16.3	3.2	10.2	11.0	40.7	(0.6)	4.9	12.1	14.7	31.0
Accrued expenses and other liabilities	4.0	37.3	37.6	(40.5)	(1.6)	5.6	(3.3)	30.0	20.5	52.9	(81.0)	2.0	13.6	(8.3)	(73.8)	17.2	(19.9)	(9.8)	41.2	28.7
Deferred revenue	69.8	176.3	168.6	231.0	197.5	(13.9)	21.1	7.0	259.1	273.3	(68.9)	72.7	28.7	306.1	338.5	(10.9)	105.3	52.1	373.8	520.3
Net cash provided by operating activities	109.1	286.5	418.4	660.0	870.6	271.5	200.1	251.6	327.1	1,050.2	297.3	238.9	297.7	387.3	1,221.1	370.0	341.1	393.8	470.1	1,575.0
y/y growth	350%	163%	46%	58%	32%	28%	22%	10%	23%	21%	9%	19%	18%	18%	16%	24%	43%	32%	21%	29%
q/q growth	-	-	-	-	-	2%	-26%	26%	30%	-	-9%	-20%	25%	30%	-	-4%	-8%	15%	19%	-
% of revenue	18.1%	27.9%	25.0%	31.0%	32.4%	35.7%	24.2%	28.4%	34.3%	30.6%	30.8%	24.3%	28.5%	34.9%	29.8%	32.6%	29.3%	31.9%	35.5%	32.4%
Cash from investing activities																				
Purchase of marketable securities	(1,791.9)	(1,125.5)	(1,413.7)	(2,558.0)	(2,653.2)	(970.3)	(751.5)	(795.6)	(1,082.5)	(3,599.8)	-	-	-	-	-	-	-	-	-	-
Maturities of marketable securities	503.9	1,046.6	1,137.7	1,864.6	2,018.8	555.9	697.2	631.2	603.4	2,487.7	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of marketable securities	163.6	67.7	2.1	37.0	0.2	(0.1)	13.2	(0.0)	18.0	31.1	-	-	-	-	-	-	-	-	-	-
Purchases of property and equipment	(5.4)	(10.0)	(35.3)	(27.6)	(34.7)	(8.7)	(15.2)	(16.8)	(8.9)	(49.6)	(11.1)	(18.0)	(19.8)	(10.3)	(59.3)	(13.0)	(21.3)	(23.4)	(12.3)	(70.1)
Capitalized software development costs	(20.5)	(26.1)	(29.6)	(34.8)	(60.8)	(18.4)	(19.6)	(20.7)	(27.2)	(85.8)	(23.3)	(23.3)	(24.4)	(31.6)	(102.6)	(27.4)	(27.5)	(28.9)	(37.7)	(121.6)
Cash paid for acquisition of businesses, net of cash acquired	(2.4)	(226.5)	(45.9)	(12.5)	(7.1)	(1.8)	(115.3)	(0.2)	(0.7)	(118.0)	(5.0)	(5.0)	(5.0)	(5.0)	(20.0)	(5.0)	(5.0)	(5.0)	(5.0)	(20.0)
Other	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net cash used in investing activities	(1,152.6)	(273.7)	(384.7)	(731.4)	(736.8)	(443.4)	(191.1)	(202.2)	(497.9)	(1,334.5)	(39.4)	(46.3)	(49.2)	(46.9)	(181.9)	(45.4)	(53.8)	(57.3)	(55.1)	(211.7)
Cash from financing activities																				
Proceeds from exercise of stock options	16.0	14.9	10.0	20.9	7.4	1.7	1.7	1.3	1.8	6.4	-	-	-	-	-	-	-	-	-	-
Proceeds from issuance of common stock under ESPP	15.2	20.3	26.0	37.4	43.7	-	28.6	-	28.2	56.8	-	-	-	-	-	-	-	-	-	-
Employee payroll taxes paid related to net share settlement and	(1.0)	(0.2)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of capped calls related to 2029 Convertible Senior Notes	-	-	-	-	(100.9)	-	(0.2)	-	-	(0.2)	-	-	-	-	-	-	-	-	-	-
Proceeds from issuance of convertible senior notes, net of issuance costs	730.2	-	-	-	978.9	-	(635.5)	-	-	(635.5)	0.0	0.0	0.0	0.0	-	0.0	0.0	0.0	0.0	-
Purchase of capped call related to convertible senior notes	(89.6)	-	-	-	54.7	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Repayments of convertible senior notes	-	-	(0.0)	-	(196.8)	(0.0)	-	-	-	(0.0)	-	-	-	-	-	-	-	-	-	-
Other	(0.4)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net cash provided by financing activities	670.3	34.9	36.0	58.3	787.1	1.7	(605.5)	1.3	30.0	(572.5)	-	-	-	-	-	-	-	-	-	-
FX Impact on cash and equivalents	0.8	(2.0)	(1.9)	1.2	(4.2)	3.1	5.6	1.0	1.4	11.2	-	-	-	-	-	-	-	-	-	-
Cash balance, beginning of period	601.2	228.7	274.5	342.3	330.3	1,247.0	1,079.9	489.0	540.7	1,247.0	401.4	659.3	851.9	1,100.3	401.4	1,440.7	1,765.2	2,052.5	2,389.0	1,440.7
Net change in cash	(372.5)	45.8	67.8	(11.9)	916.6	(167.1)	(590.8)	51.7	(139.3)	(845.6)	257.9	192.6	248.4	340.3	1,039.3	324.6	287.3	336.5	415.0	1,363.4
Cash balance, end of period	228.7	274.5	342.3	330.3	1,247.0	1,079.9	489.0	540.7	401.4	401.4	659.3	851.9	1,100.3	1,440.7	1,440.7	1,765.2	2,052.5	2,389.0	2,804.0	2,804.0

Source: Company reports, Guggenheim Securities, LLC estimates and analysis

Exhibit 11 – Datadog Discounted Cash Flow (DCF) Analysis – Plausible

\$ in millions, except per share data

Assumptions and Inputs

Current risk-free rate	4.0%
Beta	1.7
Historical equity risk premium	6.5%
Terminal growth rate	5.0%

Market Value (\$M)	\$	43,131
Debt Value (\$M)	\$	1,130
Cost of equity		15.1%
Cost of debt		5.0%
Tax rate		20.0%
WACC		14.8%

Last Reported Quarter End	12/31/2025
Full Year End	12/31/2026

Scenario 4: Plausible Case

	Historicals			Hyper Growth Period					Transitional Period					Terminal	
Fiscal year	F2023	F2024	F2025	F2026E	2027E	F2028E	F2029E	F2030E	F2031E	F2032E	F2033E	F2034E	F2035E	F2036E	Perpetuity
Corresponding Calendar Year	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	
Period				1.0	2.0	3.0	4.0	5.0	6.0	7.0	8.0	9.0	10.0	11.0	
Risk free rate			4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	
Beta			1.70	1.70	1.70	1.70	1.70	1.70	1.58	1.47	1.35	1.23	1.12	1.00	
Historical equity risk premium			6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	
Cost of equity			15.1%	15.1%	15.1%	15.1%	15.1%	15.1%	14.3%	13.5%	12.8%	12.0%	11.3%	10.5%	
Cost of debt			5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	
Debt/Total Value			2.6%	2.6%	2.6%	2.6%	2.6%	2.6%	3.6%	4.7%	5.8%	6.9%	7.9%	9.0%	
WACC			14.8%	14.8%	14.8%	14.8%	14.8%	14.8%	13.9%	13.1%	12.3%	11.5%	10.7%	9.9%	
Discount factor				0.87	0.76	0.66	0.58	0.50	0.46	0.42	0.40	0.38	0.36	0.35	
Total Revenue / Implied Total Revenue	2,128.4	2,684.3	3,427.2	4,355.6	5,229.5	6,536.6	8,216.7	10,188.7	12,311.4	14,486.4	16,586.9	18,466.8	19,974.9	20,973.7	
y/y change		26.1%	27.7%	27.1%	20.1%	25.0%	25.7%	24.0%	21%	18%	15%	11%	8%	5%	
Free Cash Flow to Firm (FCFF)	587.4	770.6	801.1	1,103.5	1,468.0	1,856.2	2,483.3	3,056.6	3,796.0	4,587.4	5,390.8	6,155.6	6,824.8	7,340.8	
FCF margin	27.6%	28.7%	23.4%	25.3%	28.1%	28.4%	30.2%	30.0%	31%	32%	33%	33%	34%	35%	
y/y change		31.2%	4.0%	37.7%	33.0%	26.4%	33.8%	23.1%	24.2%	20.8%	17.5%	14.2%	10.9%	7.6%	5%
Diluted Shares Outstanding	350	358	362	371	375	387	399	407	415	422	428	434	439	443	
y/y change		2.3%	1.3%	2.4%	1.0%	3.2%	3.2%	2.0%	1.8%	1.7%	1.5%	1.3%	1.2%	1.0%	
FCFF per share	\$1.68	\$2.15	\$2.21	\$2.97	\$3.92	\$4.80	\$6.22	\$7.50	\$9.15	\$10.88	\$12.59	\$14.19	\$15.55	\$16.56	\$336.95
NPV of FCF per share				\$2.59	\$2.97	\$3.17	\$3.58	\$3.77	\$4.19	\$4.60	\$4.99	\$5.34	\$5.64	\$5.85	\$119.11

Cummulative NPV of FCFF/share	\$46.70
Terminal Value FCF/Share	\$119.11
Total NPV of FCF/Share	\$165.80
Net Cash per share	\$ 9.08
Net cash balance	3,491
Working Capital - 5% of revenue	171.36
Shares outstanding	366
Total NPV/Share	\$175
Current Price	\$ 118.00
Upside/(Downside) Potential	48%

Source: Company reports, Guggenheim Securities, LLC estimates and analysis

Note: Price is Intra-day as of 4/7/26

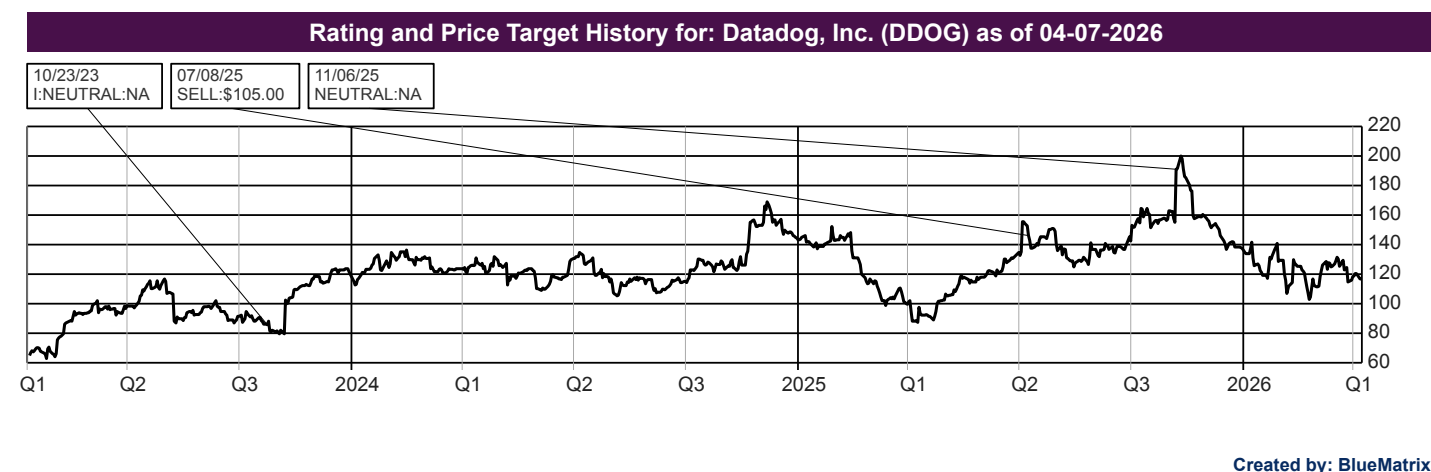
ANALYST CERTIFICATION

By issuing this research report, each Guggenheim Securities, LLC ("Guggenheim Securities") research analyst whose name appears in this report hereby certifies that (i) all of the views expressed in this report accurately reflect the research analyst's personal views about any and all of the subject securities or issuers discussed herein and (ii) no part of the research analyst's compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the research analyst.

IMPORTANT DISCLOSURES

The research analyst(s) whose name(s) appear(s) in this report have received compensation based upon various factors, including quality of research, investor client feedback, and Guggenheim Securities, LLC's overall revenue, which includes investment banking revenue.

Please refer to this website for company-specific disclosures referenced in this report: <https://guggenheimsecurities.bluematrix.com/sellside/Disclosures.action>. Disclosure information is also available from Compliance, 330 Madison Avenue, New York, NY 10017.



RATINGS EXPLANATION AND GUIDELINES

BUY (B) - Describes stocks that we expect to provide a total return (price appreciation plus yield) of 10% or more within a 12-month period.

NEUTRAL (N) - Describes stocks that we expect to provide a total return (price appreciation plus yield) of between plus 10% and minus 10% within a 12-month period.

SELL (S) - Describes stocks that we expect to provide a total negative return (price appreciation plus yield) of 10% or more within a 12-month period.

NR - The investment rating and price target have been temporarily suspended. Such suspensions are in compliance with applicable regulations and/or Guggenheim Securities, LLC policies.

CS - Coverage Suspended. Guggenheim Securities, LLC has suspended coverage of this company.

NC - Not covered. Guggenheim Securities, LLC does not cover this company.

Monitor - Describes stocks whose company fundamentals and financials are being monitored, and for which no financial projections or opinions on the investment merits of the company are provided.

Under Review (UR) - Following the release of significant news from this company, the rating has been temporarily placed under review until sufficient information has been obtained and assessed by the analyst.

Guggenheim Securities, LLC methodology for assigning ratings may include the following: market capitalization, maturity, growth/value, volatility and expected total return over the next 12 months. The price targets are based on several methodologies, which may include, but are not restricted to, analyses of market risk, growth rate, revenue stream, discounted cash flow (DCF), EBITDA, EPS, cash flow (CF), free cash flow (FCF), EV/EBITDA, P/E, PE/growth, P/CF, P/FCF, premium (discount)/average group EV/EBITDA, premium (discount)/average group P/E, sum of the parts, net asset value, dividend returns, and return on equity (ROE) over the next 12 months.

Price targets are assigned for Buy- and Sell-rated stocks. Price targets for Neutral-rated stocks are provided at the discretion of the analyst.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <https://guggenheimlibrary.bluematrix.com/client/library.jsp>, contact the primary analyst or your Guggenheim Securities, LLC representative, or email GSResearchDisclosures@guggenheimpartners.com.

RATINGS DISTRIBUTIONS FOR GUGGENHEIM SECURITIES:

Rating Category	Count	Percent	IB Serv./ Past 12Mos.	
			Count	Percent
BUY	281	73.95%	65	23.13%
HOLD	98	25.79%	4	4.08%
SELL	1	0.26%	0	0.00%

Guggenheim Securities Research assigns Buy, Neutral, Sell ratings for covered securities. Such assignments equate to Buy, Hold and Sell for the purposes of the above Rating Distribution Disclosure required by FINRA Rule 2241.

OTHER DISCLOSURES

This research is for our clients and prospective clients only. This research was prepared by personnel who are associated with both Guggenheim Securities, LLC (a FINRA-registered broker-dealer, "Guggenheim Securities") and Guggenheim Securities Research Services, LLC (an investment adviser, "GSRS," and together with Guggenheim Securities, "Guggenheim"). If you are paying separately for this research, it is being provided to you by GSRS. Otherwise, it is being provided by Guggenheim Securities. Guggenheim does not create tailored or personalized research and all research provided by Guggenheim is impersonal advice. Other than disclosures relating to Guggenheim and our affiliates, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. Portions of the research contained herein have been generated using artificial intelligence ("AI"). We primarily use AI to gather general market or industry data and to compile company-specific information to facilitate the recipient's preliminary review. In providing this research, we assume that any information obtained from public sources, data suppliers (including AI systems) and other third parties is reasonable and reliable but acknowledge that any such information (including AI content) could contain errors, inconsistencies, bias or outdated or irrelevant information. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the research analyst's judgement. Guggenheim Securities conducts a full-service, integrated investment banking and brokerage business. Guggenheim Securities is a member of SIPC (<http://www.sipc.org>). Guggenheim Securities' salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to Guggenheim Securities' clients and our employees trading for our own account that reflect opinions that are contrary to the opinions expressed in this research. Guggenheim and certain of our affiliates conduct an investment management business, trade for their own accounts, and may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

We and our affiliates, officers, directors, and employees, excluding equity and credit analysts, will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research. We and our affiliates also may sell to or buy from customers on a principal basis the securities described herein. We and our affiliates also do business with, or that relates to, companies covered in Guggenheim research and may have a position in the debt of the company or companies discussed herein.

This research is not an offer to sell or the solicitation of an offer to buy any security. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them will fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

This communication does not constitute an offer of Shares to the public in the United Kingdom. No prospectus has been or will be approved in the United Kingdom in respect of the Securities. Consequently, this communication is directed only at (i) persons who are outside the United Kingdom or (ii) persons who have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order"), (iii) high net worth entities falling within Article 49(2) of the Order (iv) and other persons to whom it may lawfully be communicated (all such persons together being referred to as "relevant persons"). Any investment activity to which this communication relates will only be available to, and will only be engaged with, relevant persons. Any person who is not a relevant person, or otherwise in a territory where it is not intended to, or may not, be distributed, should not act or rely on this document or any of its contents.

Copyright © 2026 by Guggenheim Securities, LLC, a FINRA registered broker-dealer, and by Guggenheim Securities Research Services, LLC, an investment adviser (together with, Guggenheim Securities, LLC, "Guggenheim"). All rights reserved. The content of this report is based upon information obtained from sources that Guggenheim generally considers reliable, but Guggenheim makes no representations or warranties with respect to its accuracy, completeness, timeliness, suitability or otherwise, and assumes no responsibility to update it for subsequent events or knowledge. Guggenheim is not responsible for your use of this information.

Guggenheim Securities Equity Research & Equities Teams

Consumer Equity Research

Consumer Discretionary
Simeon Siegel, CFA 212.518.9852
 Simeon.Siegel@guggenheimpartners.com

Food Retailers; Consumables Retail/Distribution
John Heinbockel 212.381.4135
 John.Heinbockel@guggenheimpartners.com

Hardlines
Steven Forbes, CFA, CPA 212.381.4188
 Steven.Forbes@guggenheimpartners.com

Restaurants
Gregory Francfort, CFA 212.518.9182
 Gregory.Francfort@guggenheimpartners.com

Healthcare Equity Research

Biotechnology
Brad Canino 212.823.6558
 Brad.Canino@guggenheimpartners.com

Debjit Chattopadhyay, Ph.D. 212.823.6584
 Debjit.Chattopadhyay@guggenheimpartners.com

Eddie Hickman, Ph.D. 212.518.9904
 Eddie.Hickman@guggenheimpartners.com

Michael Schmidt, Ph.D. 617.859.4636
 Michael.Schmidt@guggenheimpartners.com

Yatin Suneja 212.518.9565
 Yatin.Suneja@guggenheimpartners.com

Diagnostics & Life Sciences Tools
Subbu Nambi, Ph.D. 617.859.4609
 Subbu.Nambi@guggenheimpartners.com

Global Biopharmaceuticals
Vamil Divan, M.D. 212.823.6543
 Vamil.Divan@guggenheimpartners.com

Seamus Fernandez 617.859.4637
 Seamus.Fernandez@guggenheimpartners.com

Healthcare Providers & Services
Jason Cassorla 212.518.9501
 Jason.Cassorla@guggenheimpartners.com

Equities Management

Stefano Natella, Head of Equities 212.292.4700
Craig Peckham, Head of Research 212.292.4765
Doron Barness, Head of Trading 212.518.9842
Erik Cohen, Co-Head of Sales 212.901.9429
Jeffrey Cohen, Co-Head of Sales 212.292.4762

Power & Energy Transition Equity Research

Energy Technology & Industrial Technology
Joseph Osha, CFA 415.852.6468
 Joseph.Osha@guggenheimpartners.com

Technology & Media Equity Research

IT Services
Jonathan Lee 212.518.5388
 Jonathan.Lee@guggenheimpartners.com

Media & Internet
Michael Morris, CFA 804.253.8025
 Michael.Morris@guggenheimpartners.com

Media & Live Entertainment
Curry Baker 804.253.8029
 Curry.Baker@guggenheimpartners.com

Software
John DiFucci 212.518.9670
 John.DiFucci@guggenheimpartners.com

Howard Ma 512.354.3458
 Howard.Ma@guggenheimpartners.com

Event Driven Strategies Team

Event Driven Strategies
Aaron Glick 212.518.5898
 Aaron.Glick@guggenheimpartners.com

Christopher Colpitts 385.553.9836
 Chris.Colpitts@guggenheimpartners.com

Healthcare Equities Team

Healthcare Sector Specialist - New York
Whitney Wolfe 212.518.9630
 Whitney.Wolfe@guggenheimpartners.com

Healthcare Sector Specialist - San Francisco
Daniel Donner 415.671.4385
 Daniel.Donner@guggenheimpartners.com

Healthcare Sector Specialist - Boston
Joshua Altschuler 617.859.4658
 Josh.Altshuler@guggenheimpartners.com

Technology & Media Equities Team

TMT Sector Specialist
Seth Ostrie 212.518.9547
 Seth.Ostrie@guggenheimpartners.com

Sales and Trading Offices

New York 212.292.4700
 San Francisco 415.852.6451
 Boston 617.859.4626
 Fort Lauderdale 954.315.1411